

Pricing and mix benefits outweigh cost burdens

Quick Note

Strong 2Q26 beat and GM continues to expand on pricing benefits; maintain Neutral and TP of HKD75

SMIC's 2Q26 revenue growth (+20.0% q-q) and GM of 25.3% (*Fig. 1*) were both ahead of guidance (2Q26E revenue +14-16% q-q; GM 20-22%), driven by stronger-than-expected AI-related peripheral chip shipments (e.g. power management) and customer shipment pull-in (primarily consumer electronics), alongside flow-through of new price schemes for platforms in shortage (blended ASP +5.7% q-q in 2Q26). Management guides for 3Q26E revenue to increase 2-4% q-q, and it expects ASP to be stable. Despite higher depreciation and summer utility rate, SMIC expects that still-high fab loadings would reduce unit cost and therefore estimates GM to tick up to 26-28% in 3Q26E. SMIC believes demand for AI peripherals, ongoing supply chain localization efforts, and customers seeking for alternative capacity accesses in a backdrop of being crowded out by AI at overseas fabs could continue to support foundry demand. Our TP of HKD75.0 is based on 3.5x 2026F BVPS of USD2.76, at the high end of SMIC's historical trading band. We maintain our Neutral rating on SMIC. The stock trades at 3.3x 2026F P/B.

Favorable pricing conditions on AI-related platforms

SMIC flagged during the earnings call that it did not issue notices of price hikes across the board. Instead, it negotiates with customers on some platforms whose supply trails demand (mostly AI peripherals such as specialty memory and bipolar-CMOS-DMOS [BCD]/analog), while delaying price actions applied to softer verticals (e.g. smartphone, consumer electronics). Based on our estimates, SMIC's blended wafer ASP could have risen ~10% q-q in 2Q26 for 8" fabs vs. only low single-digit q-q ASP rise for 12" fabs, as we believe the bulk of SMIC's 8" demand could be related to BCD/analog. Also, while we are aware of UMC (2303 TT, Buy) and Vanguard's (5347 TT, Buy) intentions to bump pricing across the board in 2026F, both foundries actually have flexibility in negotiations (unlike TSMC [2330 TT, Buy]), and we model UMC and Vanguard's like-for-like price adjustments could be hikes of 0-5% in 2026F, and 8" fab pricing might tilt toward the higher end of the price hike. However, SMIC noted that it could negotiate new pricing schemes with smartphone and consumer electronics clients when they build inventories again after drawdown or prepare ahead of a demand rebound. This broadly underscores our views that a more significant change in the mature-node price scheme could occur in 1Q27F.

AI continues to directly and indirectly reshape the mature-node foundry landscape

SMIC reiterated that AI is directly driving demand for computing chips (standard CMOS logic) and BCD/analog, and also indirectly driving spillover demand on nodes that are less tied to AI (e.g. 40/28nm which are large nodes for consumer electronics and connectivity) given capacity crowd-out elsewhere. We have discussed this "AI ripple effect" in the past and highlighted that resource optimization by TSMC and Samsung (005930 KS, Buy) could create some structural tailwinds to Taiwan tier-two foundries (though realization is likely to be after 2027-28F; *report*). In our view, fabless customers might have several considerations when moving orders from leading semi makers to SMIC, such as geopolitical factors, localized manufacturing (China-for-China) and platform breadth, but at least from an industry-wide perspective, a reshaped mature node foundry landscape is a boon to overall pricing conditions.

Rating Remains	Neutral
Target price Remains	HKD 75.00
Closing price 14 August 2026	HKD 70.80

Research Analysts

Semiconductor

Aaron Jeng, CFA - NITB

aaron.jeng@nomura.com
+886(2) 21769962

Donnie Teng - NIHK

donnie.teng@nomura.com
+852 2252 1439

Eric Chen, CFA - NITB

eric.chen@nomura.com
+886(2) 21769965

Vivian Yang - NITB

vivian.yang@nomura.com
+886(2) 21769970

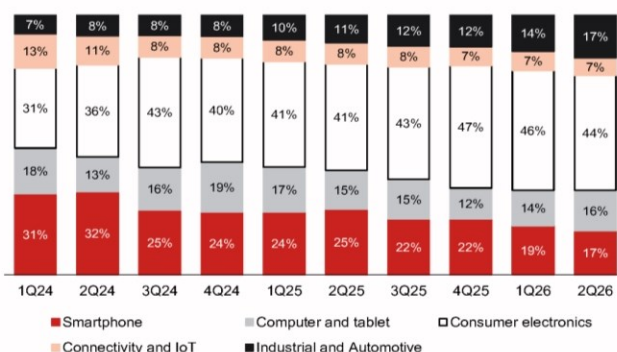
Fig. 1: SMIC's 2Q26 results and 3Q26E guidance vs Nomura forecasts and Bloomberg pre-results consensus

(USD mn)	2Q26								3Q26E								Remarks
	Actual	q-q	NMR	q-q	Diff.	BBG	q-q	Diff.	Guidance	q-q	NMR	q-q	Diff.	BBG	q-q	Diff.	
Revenue	3,006	20.0%	2,660	6.2%	13.0%	2,881	15.0%	4.3%	3,096	3.0%	2,946	10.7%	5.1%	3,089	7.2%	0.2%	+2-4% q-q
Gross profit	761	51.0%	597	18.6%	27.4%	614	21.9%	23.9%	836	9.9%	673	12.6%	24.3%	696	13.3%	20.2%	
- Opex	(226)	-11.5%	(339)	32.5%	-33.2%	(285)	11.4%	-20.5%			(357)	5.2%		(309)	8.5%		
Operating profit	534	115.6%	258	4.2%	106.9%	332	33.8%	61.1%			316	22.4%		387	16.6%		
Pretax profit	810	217.3%	250	-2.1%	224.2%	343	34.4%	136.1%			306	22.3%		471	37.3%		
Net profit	479	142.7%	190	-3.8%	152.3%	268	35.5%	79.1%			241	27.1%		384	43.6%		
EPS (USD)	0.06	141.1%	0.02	-3.7%	150.3%	0.03	34.7%	78.9%			0.03	27.1%		0.05	50.4%		
Margin	Actual		NMR		Diff.	BBG		Diff.	Guidance		NMR		Diff.	BBG		Diff.	Remarks
Gross margin	25.3%		22.4%		286bps	21.3%		399bps	27.0%		22.8%		417bps	22.5%		448bps	26-28%
- Opex ratio	-7.5%		-12.7%		521bps	-9.9%		236bps			-12.1%		-10.0%				
Operating margin	17.8%		9.7%		807bps	11.5%		626bps			10.7%		12.5%				
Pretax margin	27.0%		9.4%		1,756bps	11.9%		1,504bps			10.4%		15.2%				
Net margin	15.9%		7.1%		881bps	9.3%		666bps			8.2%		12.4%				

Note: Nomura forecasts for 2Q26F/3Q26F are pre-results.

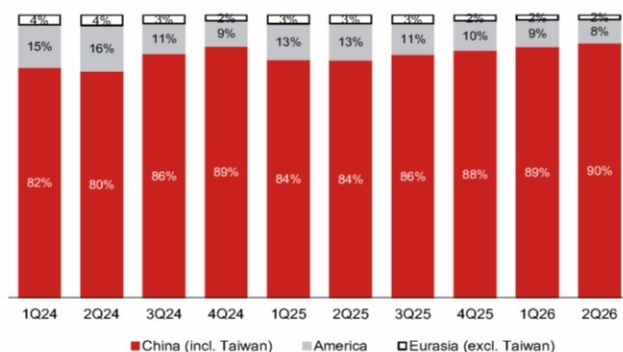
Source: Company data, Bloomberg Finance L.P. consensus, Nomura estimates

Fig. 2: SMIC's wafer revenue by application



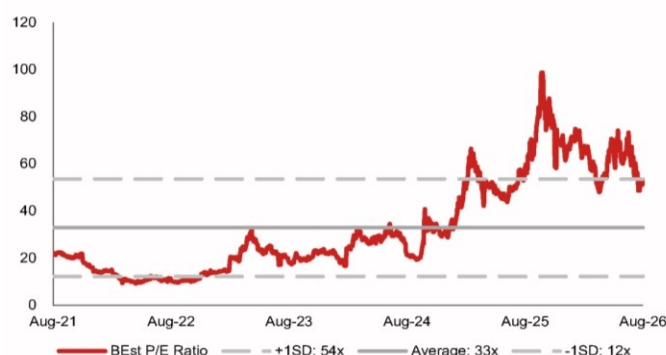
Source: Company data, Nomura research

Fig. 3: SMIC's total revenue by geography



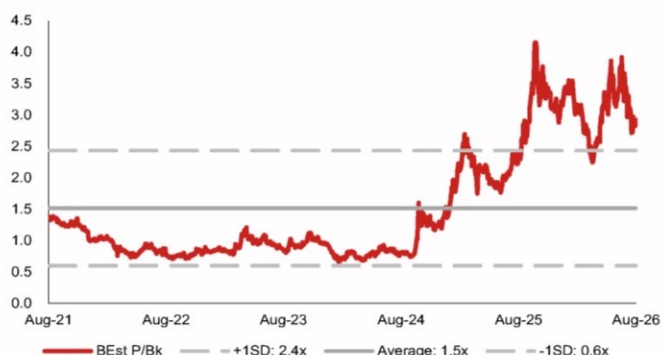
Source: Company data, Nomura research

Fig. 4: SMIC's consensus P/E

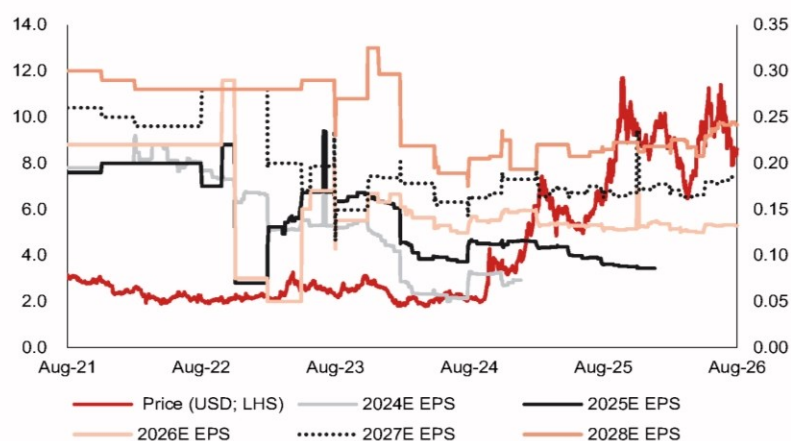


Source: Bloomberg Finance L.P., Nomura research

Fig. 5: SMIC's consensus P/B



Source: Bloomberg Finance L.P., Nomura research

Fig. 6: SMIC's share price vs Bloomberg consensus EPS revisions

Note: Share prices are converted to USD.

Source: Company data, Bloomberg Finance L.P., Nomura research

SMIC: 2Q26 analyst briefing summary

Below comments are from SMIC management, unless otherwise stated:

Results and earnings release summary

- 2Q26 revenue at USD3,006mn (+20.0% q-q and +36.1% y-y).
 - Monthly capacity grew from 1,078.25kwpm 8" eq. by end-1Q26 to 1,096.5kwpm 8" eq. by end-2Q26.
 - Wafer shipments were up 14.4% q-q to 2,869kpcs 8" eq. in 2Q26. Capacity utilization rate was 9371% (vs. 93.1% in 1Q26).
 - ASP was up 5.7% q-q. Wafer revenue was up 20.9% q-q.
- GM was 25.3% in 2Q26, vs. 20.1% in 1Q26 (+5.29ppt q-q).
- Revenue breakdown by region
 - China (90.2% of revenue), +22% q-q due to robust AI peripheral chip demand, backflow of overseas orders, and localized production.
 - America (8.2%)
 - Eurasia (1.6%)
- Wafer revenue (94.6% of 2Q26 revenue) breakdown by application
 - Smartphone (16.9% of revenue), +8% q-q
 - Computer and Tablet (15.6%)
 - Consumer Electronics (44.2%), +16% q-q
 - Connectivity and IoT (6.8%), +13% q-q
 - Industrial and Automotive (16.5%)
- Wafer revenue breakdown by diameter
 - 8" wafers (21.8% of revenue), +11% q-q
 - 12" wafers (78.2%), +24% q-q
- Capex and depreciation
 - 2Q26 capex was USD1,835.7mn.
 - 2Q26 depreciation was USD1,212mn, 76% of which was booked in COGS.
- 3Q26 guidance

- Revenue to increase 2-4% q-q
- GM 26-28%

Management remarks

- 2Q26 revenue grew on the back of ASP and volume growth; shipment volume growth (+14.4% q-q) was driven by AI-related peripheral chips and customer shipment pull-in.
- Allocated more capacity to segments facing high demand. AI peripherals, computing/tablet and industrial/automotive revenue together grew 40% q-q.
- For other applications, early pull-in by customers partly mitigated slower end-demand.
- GM was up in 2Q26 given higher ASP and better-than-expected UTR uptick despite higher depreciation cost.
- SMIC expects higher shipments with stable ASP in 3Q26E. GM will be up even after factoring in higher depreciation and summer utility rate. SMIC expects UTR ex-new capacity to remain at a high level of 95% to reduce unit costs.
- AI-driven demand and spillover demand continues into 2H26. SMIC will keep flexibility in its own capacity and quickly qualify newly added capacity.
- SMIC believes cost inflation will occur in the manufacturing chain. SMIC is ready to proactively address these challenges and mitigate headwinds to minimize the overall impact.

Q&A

- 2Q26 results
 - 2Q26 revenue growth was due to shipment growth and price hikes. Shipment growth was due to expedition demand, and SMIC accelerated shipments and lowered new wafer-ins to address the demand. At the same time, newly added capacity was qualified (an average of 16 months from installation to release).
 - AI peripherals and computer together recorded 40% q-q growth. SMIC plans to isolate AI peripheral revenue in the next reporting. Customers communicate with SMIC what chips are used in AI peripherals which are now booked under industrial and computer. The demand was strong.
- 3Q26E outlook
 - A lot of wafer shipments in 2Q26 were wafer-ins in 1Q26/4Q25 based on old prices. SMIC expects more pricing benefits from new schemes in 3Q26, which it has reflected in its GM guidance. Depreciation typically has 4-5% negative impact on GM.
 - Volume growth is limited in 3Q26E due to moderate capacity growth (roughly +8kwpm 12" in 2Q26, similar to the incremental scale in 1Q26) and fewer wafer-ins. SMIC wants to smoothen the operations after expedition/pull-in in 2Q26.
- Pricing and profitability
 - SMIC does not issue notices to raise price across the board. It negotiates with customers for segments facing shortages. For segments facing demand headwinds such as smartphone and automotive/industrial, SMIC plans to delay any price action.
 - GM was up about 10pp q-q adding back depreciation pressure in 2Q26, which should reflect the price hike flow-through during the quarter after negotiations in 1Q26.
 - The price schemes depend on the industry dynamics. SMIC talked to customers in March but back then the negotiation was not across the board (only applied to certain segments) given soft demand in smartphone and consumer electronics.
 - As customers expect a rebound in smartphone and consumer electronics and are going to build up inventories, SMIC will negotiate prices with them.
 - SMIC will prioritize commitment to customers over prices. SMIC thinks it has bargaining power in price negotiation given production quality.

- SMIC does not raise prices or reduce the production for consumer electronics and smartphone customers.
- SMIC does not expect price reduction in 2026 (at least flat). Depreciation will be up 30% y-y this year.
- SMIC reserves 5% of capacity for R&D, so 95% is the full loading. To grow EBITDA margin, it depends on future price increases which SMIC is not going to predict.
- 2Q26 EBITDA margin was higher due to higher GM as well as higher one-off income.
- Current GM improvement is more on ASP increase than mix change. New capacity is loaded quickly with higher pricing.
- SMIC estimates depreciation to grow 30% y-y (unchanged) to near USD5bn in 2026E.
- SMIC does not know when will be the peak of depreciation, as SMIC could flexibly adjust the capex investments and capacity build timeline. It has to add more tools in response to a stronger demand profile on the back of AI peripherals.
- Demand
 - For segments related to computing and peripherals, they are in shortages. Customers' demand forecasts could exceed SMIC's initial estimates. Logic, BCD (power management and power supply, which are used in optical modules, HBM, SSD, GPU, DRAM and cooling systems), and optical modules are examples of short supply vs. demand.
 - Specialty memory (NOR/NAND flash) supply is crowded out at overseas makers, and prices are increasing.
 - Handset chip and display driver customers are also in talks with SMIC given backflows and capacity crowd-out. Supposedly the pricing should be up gradually.
 - Smartphone chips should undergo destocking. Customers such as manufacturers of display driver ICs with low wafer prices are building up inventories early in response to potential cost inflation.
 - AI drives computing (standard logic) and analog (8") demand directly, plus demand spillover (e.g. 40/28nm which has no direct exposure to AI). BCD/Analog SKUs are broad, and no single maker could address all the demand. 40V/high-voltage/high-current applications are largely on 8", and for some constrained by supply, they are moving to 12". The demand visibility is through end-2027, and SMIC expects robust BCD demand and pricing. Higher voltage and long collaboration time with customers are keys in BCD/analog.

Appendix A-1

This report has been produced by Nomura International (Hong Kong) Ltd., Taipei Branch (NITB), Taiwan.
See [Disclaimers](#) for Nomura Group entity details.

Analyst Certification

We, Aaron Jeng, Donnie Teng, Eric Chen and Vivian Yang, hereby certify (1) that the views expressed in this Research report accurately reflect our personal views about any or all of the subject securities or issuers referred to in this Research report, (2) no part of our compensation was, is or will be directly or indirectly related to the specific recommendations or views expressed in this Research report and (3) no part of our compensation is tied to any specific investment banking transactions performed by Nomura Securities International, Inc., Nomura International plc or any other Nomura Group company.

Issuer Specific Regulatory Disclosures

The terms "Nomura" and "Nomura Group" used herein refer to Nomura Holdings, Inc. and its affiliates and subsidiaries, including Nomura Securities International, Inc. ('NSI') and Instinet, LLC ('ILLC'), U. S. registered broker dealers and members of SIPC.

Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
SMIC	981 HK	HKD 70.80	14-Aug-2026	Neutral	N/A	A10

A10 The Nomura Group is a registered market maker in the securities / related derivatives of the issuer.

SMIC (981 HK)

HKD 70.80 (14-Aug-2026) Neutral (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of HKD75.0 is based on 3.5x 2026F BVPS. Our target P/B multiple is at the higher end of its historical trading band of 0.7-4.0x, and also considering global semi companies' P/B vs ROE. The benchmark index for this stock is Hang Seng Index.

Risks that may impede the achievement of the target price Major upside risks: 1) better-than-expected end-demand; 2) competitors' slower-than-expected technology migration progress; 3) successful M&A; 4) more policy support from the Chinese government; and 5) better-than-expected FinFET ASP and profitability.

Important Disclosures

Online availability of research and conflict-of-interest disclosures

Nomura Group research is available on www.nomuranow.com/research, Bloomberg, Capital IQ, Factset, LSEG.

Important disclosures may be read at <http://go.nomuranow.com/research/m/Disclosures> or requested from Nomura Securities International, Inc. If you have any difficulties with the website, please email grpsupport@nomura.com for help.

The analysts responsible for preparing this report have received compensation based upon various factors including the firm's total revenues, a portion of which is generated by Investment Banking activities. Unless otherwise noted, the non-US analysts listed at the front of this report are not registered/qualified as research analysts under FINRA rules, may not be associated persons of NSI, and may not be subject to FINRA Rule 2241 restrictions on communications with covered companies, public appearances, and trading securities held by a research analyst account.

Nomura Global Financial Products Inc. (NGFP) Nomura Derivative Products Inc. (NDP) and Nomura International plc. (NIplc) are registered with the Commodities Futures Trading Commission and the National Futures Association (NFA) as swap dealers. NGFP, NDPI, and NIplc are generally engaged in the trading of swaps and other derivative products, any of which may be the subject of this report.

Distribution of ratings (Nomura Group)

The distribution of all ratings published by Nomura Group Global Equity Research is as follows:

58% have been assigned a Buy rating which, for purposes of mandatory disclosures, are classified as a Buy rating; 33% of companies with this rating are investment banking clients of the Nomura Group*. 0% of companies (which are admitted to trading on a regulated market in the EEA) with this rating were supplied material services** by the Nomura Group.

39% have been assigned a Neutral rating which, for purposes of mandatory disclosures, is classified as a Hold rating; 57% of companies with this rating are investment banking clients of the Nomura Group*. 0% of companies (which are admitted to trading on a regulated market in the EEA) with this rating were supplied material services by the Nomura Group

3% have been assigned a Reduce rating which, for purposes of mandatory disclosures, are classified as a Sell rating; 15% of companies with this rating are investment banking clients of the Nomura Group*. 0% of companies (which are admitted to trading on a regulated market in the EEA) with this rating were supplied material services by the Nomura Group.

As at 30 June 2026.

*The Nomura Group as defined in the Disclaimer section at the end of this report.

** As defined by the EU Market Abuse Regulation

Definition of Nomura Group's equity research rating system and sectors

The rating system is a relative system, indicating expected performance against a specific benchmark identified for each individual stock, subject to limited management discretion. An analyst's target price is an assessment of the current intrinsic fair value of the stock based on an appropriate valuation methodology determined by the analyst. Valuation methodologies include, but are not limited to, discounted cash flow analysis, expected return on equity and multiple analysis. Analysts may also indicate expected absolute upside/downside relative to the stated target price, defined as (target price - current price)/current price.

STOCKS

A rating of '**Buy**', indicates that the analyst expects the stock to outperform the Benchmark over the next 12 months. A rating of '**Neutral**', indicates that the analyst expects the stock to perform in line with the Benchmark over the next 12 months. A rating of '**Reduce**', indicates that the analyst expects the stock to underperform the Benchmark over the next 12 months. A rating of '**Suspended**', indicates that the rating, target price and estimates have been suspended temporarily to comply with applicable regulations and/or firm policies. Securities and/or companies that are labelled as '**Not rated**' or shown as '**No rating**' are not in regular research coverage. Investors should not expect continuing or additional information from Nomura relating to such securities and/or companies. Benchmarks are as follows: **United States/Europe/Asia ex-Japan**: please see valuation methodologies for explanations of relevant benchmarks for stocks, which can be accessed at:

<http://go.nomuranow.com/research/m/Disclosures>; **Global Emerging Markets (ex-Asia)**: MSCI Emerging Markets ex-Asia, unless otherwise stated in the valuation methodology; **Japan**: Russell/Nomura Large Cap.

SECTORS

A '**Bullish**' stance, indicates that the analyst expects the sector to outperform the Benchmark during the next 12 months. A '**Neutral**' stance, indicates that the analyst expects the sector to perform in line with the Benchmark during the next 12 months. A '**Bearish**' stance, indicates that the analyst expects the sector to underperform the Benchmark during the next 12 months. Sectors that are labelled as '**Not rated**' or shown as '**N/A**' are not assigned ratings. Benchmarks are as follows: **United States**: S&P 500; **Europe**: Dow Jones STOXX 600; **Global Emerging Markets (ex-Asia)**: MSCI Emerging Markets ex-Asia. **Japan/Asia ex-Japan**: Sector ratings are not assigned.

Target Price

A Target Price, if discussed, indicates the analyst's forecast for the share price with a 12-month time horizon, reflecting in part the analyst's estimates for the company's earnings. The achievement of any target price may be impeded by general market and macroeconomic trends, and by other risks related to the company or the market, and may not occur if the company's earnings differ from estimates.

Disclaimers

This publication contains material that has been prepared by the Nomura Group entity identified on page 1 and, if applicable, with the contributions of one or more Nomura Group entities whose employees and their respective affiliations are specified on page 1 or identified elsewhere in this publication. The term "Nomura Group" used herein refers to Nomura Holdings, Inc. and its affiliates and subsidiaries including: (a) Nomura Securities Co., Ltd. ('NSC') Tokyo, Japan, (b) Nomura Financial Products Europe GmbH ('NFPE'), Germany, (c) Nomura International plc ('NIplc'), UK, (d) Nomura Securities International, Inc. ('NSI'), New York, US, (e) Nomura International (Hong Kong) Ltd. ('NIHK'), Hong Kong, (f) Nomura Financial Investment (Korea) Co., Ltd. ('NFIK'), Korea (Information on Nomura analysts registered with the

Korea Financial Investment Association ('KOFIA') can be found on the KOFIA Intranet at <http://dis.kofia.or.kr>, (g) Nomura Singapore Ltd. ('NSL'), Singapore (Registration number 197201440E, regulated by the Monetary Authority of Singapore) (h) Nomura Australia Ltd. ('NAL'), Australia (ABN 48 003 032 513), regulated by the Australian Securities and Investment Commission ('ASIC') and holder of an Australian financial services licence number 246412, (i) Nomura Securities Malaysia Sdn. Bhd. ('NSM'), Malaysia, (j) NIHK, Taipei Branch ('NITB'), Taiwan, (k) Nomura Financial Advisory and Securities (India) Private Limited ('NFASL'), Mumbai, India (Registered Address: Ceejay House, Level 11, Plot F, Shivsagar Estate, Dr. Annie Besant Road, Worli, Mumbai- 400 018, India; Tel: 91 22 4037 4037, Fax: 91 22 4037 4111; CIN No: U74140MH2007PTC169116, SEBI Registration No. for Stock Broking activities : INZ000255633; SEBI Registration No. for Merchant Banking : INM000011419; SEBI Registration No. for Research: INH000001014 - Compliance Officer: Ms. Pratiksha Tondwalkar, 91 22 40374904, grievance email: investorgrievancesra@nomura.com Webpage: [LINK](#)

For reports with respect to Indian public companies or authored by India-based NFASL research analysts: (i) Investment in securities markets is subject to market risks. Read all the related documents carefully before investing. (ii) Registration granted by SEBI, and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. (iii) NFASL terms and conditions for availing research services is disclosed on NFASL webpage.

(l) Nomura Fiduciary Research & Consulting Co., Ltd. ('NFRC') Tokyo, Japan. (m) Nomura Orient International Securities Co., Ltd ("NOI"), is a majority owned joint venture amongst Nomura Group, Orient International (Holding) Co., Ltd, and Shanghai Huangpu Investment Holding (Group) Co., Ltd. In accordance with the laws of the People's Republic of China ("PRC", excluding Hong Kong, Macau and Taiwan, for the purpose of this document), NOI is licensed in the PRC to provide securities research and investment recommendations and it operates independently from the other members of the Nomura Group; in particular, NOI's interests in PRC securities are not disclosed to, or aggregated with the holdings of, any other Nomura Group entities and the interests in PRC securities of other Nomura Group entities are not disclosed to, or aggregated with the holdings of, NOI. An individual name printed next to NOI on the front page of a research report indicates that individual is employed by NOI to provide research assistance to NIHK under a research partnership agreement. 'NSFSPL' next to an employee's name on the front page of a research report indicates that the individual is employed by Nomura Structured Finance Services Private Limited to provide assistance to certain Nomura entities under inter-company agreements. 'Verdhana' next to an individual's name on the front page of a research report indicates that the individual is employed by PT Verdhana Sekuritas Indonesia ('Verdhana') to provide research assistance to NIHK under a research partnership agreement and neither Verdhana nor such individual is licensed outside of Indonesia.

THIS MATERIAL IS: (I) FOR YOUR PRIVATE INFORMATION, AND WE ARE NOT SOLICITING ANY ACTION BASED UPON IT; (II) NOT TO BE CONSTRUED AS AN OFFER TO SELL OR A SOLICITATION OF AN OFFER TO BUY ANY SECURITIES IN ANY JURISDICTION WHERE SUCH OFFER OR SOLICITATION WOULD BE ILLEGAL; AND (III) OTHER THAN DISCLOSURES RELATING TO THE NOMURA GROUP, BASED UPON INFORMATION FROM SOURCES THAT WE CONSIDER RELIABLE, BUT HAS NOT BEEN INDEPENDENTLY VERIFIED BY NOMURA GROUP.

Other than disclosures relating to the Nomura Group, the Nomura Group does not warrant, represent or undertake, express or implied, that the document is fair, accurate, complete, correct, reliable or fit for any particular purpose or merchantable, and to the maximum extent permissible by law and/or regulation, does not accept liability (in negligence or otherwise, and in whole or in part) for any act (or decision not to act) resulting from use of this document and related data. To the maximum extent permissible by law and/or regulation, all warranties and other assurances by the Nomura Group are hereby excluded and the Nomura Group shall have no liability (in negligence or otherwise, and in whole or in part) for any loss howsoever arising from the use, misuse, or distribution of this material or the information contained in this material or otherwise arising in connection therewith.

Opinions or estimates expressed are current opinions as of the original publication date appearing on this material and the information, including the opinions and estimates contained herein, are subject to change without notice. The Nomura Group, however, expressly disclaims any obligation, and therefore is under no duty, to update or revise this document. Any comments or statements made herein are those of the author(s) and may differ from views held by other parties within Nomura Group. Clients should consider whether any advice or recommendation in this report is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. The Nomura Group does not provide tax advice.

The Nomura Group, and/or its officers, directors, employees and affiliates, may, to the extent permitted by applicable law and/or regulation, deal as principal, agent, or otherwise, or have long or short positions in, or buy or sell, the securities, commodities or instruments, or options or other derivative instruments based thereon, of issuers or securities mentioned herein. The Nomura Group companies may also act as market maker or liquidity provider (within the meaning of applicable regulations in the UK) in the financial instruments of the issuer. Where the activity of market maker is carried out in accordance with the definition given to it by specific laws and regulations of the US or other jurisdictions, this will be separately disclosed within the specific issuer disclosures.

This document may contain information obtained from third parties, including, but not limited to, ratings from credit ratings agencies such as Standard & Poor's. The Nomura Group hereby expressly disclaims all representations, warranties or undertakings of originality, fairness, accuracy, completeness, correctness, merchantability or fitness for a particular purpose with respect to any of the information obtained from third parties contained in this material or otherwise arising in connection therewith, and shall not be liable (in negligence or otherwise, and in whole or in part) for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including lost income or profits and opportunity costs) in connection with any use or misuse of any of the information obtained from third parties contained in this material or otherwise arising in connection therewith. Reproduction and distribution of third-party content in any form is prohibited except with the prior written permission of the related third-party. Third-party content providers do not, express or implied, guarantee the fairness, accuracy, completeness, correctness, timeliness or availability of any information, including ratings, and are not in any way responsible for any errors or omissions (negligent or otherwise), regardless of the cause, or for the results obtained from the use or misuse of such content. Third-party content providers give no express or implied warranties, including, but not limited to, any warranties of merchantability or fitness for a particular purpose or use. Third-party content providers shall not be liable (in negligence or otherwise, and in

whole or in part) for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including lost income or profits and opportunity costs) in connection with any use or misuse of their content, including ratings. Credit ratings are statements of opinions and are not statements of fact or recommendations to purchase hold or sell securities. They do not address the suitability of securities or the suitability of securities for investment purposes, and should not be relied on as investment advice. Any MSCI sourced information in this document is the exclusive property of MSCI Inc. ('MSCI'). Without prior written permission of MSCI, this information and any other MSCI intellectual property may not be duplicated, reproduced, re-disseminated, redistributed or used, in whole or in part, for any purpose whatsoever, including creating any financial products and any indices. This information is provided on an "as is" basis. The user assumes the entire risk of any use made of this information. MSCI, its affiliates and any third party involved in, or related to, computing or compiling the information hereby expressly disclaim all representations, warranties or undertakings of originality, fairness, accuracy, completeness, correctness, merchantability or fitness for a particular purpose with respect to any of this material or the information contained in this material or otherwise arising in connection therewith. Without limiting any of the foregoing, in no event shall MSCI, any of its affiliates or any third party involved in, or related to, computing or compiling the information have any liability (in negligence or otherwise, and in whole or in part) for any damages of any kind. MSCI and the MSCI indexes are services marks of MSCI and its affiliates.

The intellectual property rights and any other rights, in Russell/Nomura Japan Equity Index belong to Nomura Fiduciary Research & Consulting Co., Ltd. ("NFR") and FTSE Russell ("Russell"). NFR and Russell do not guarantee fairness, accuracy, completeness, correctness, reliability, usefulness, marketability, merchantability or fitness of the Index, and do not account for business activities or services that any index user and/or its affiliates undertakes with the use of the Index.

Investors should consider this document as only a single factor in making their investment decision and, as such, the report should not be viewed as identifying or suggesting all risks, direct or indirect, that may be associated with any investment decision. Nomura Group produces a number of different types of research product including, among others, fundamental analysis and quantitative analysis; recommendations contained in one type of research product may differ from recommendations contained in other types of research product, whether as a result of differing time horizons, methodologies or otherwise. The Nomura Group publishes research product in a number of different ways including the posting of product on the Nomura Group portals and/or distribution directly to clients. Different groups of clients may receive different products and services from the research department depending on their individual requirements.

Figures presented herein may refer to past performance or simulations based on past performance which are not reliable indicators of future or likely performance. Where the information contains an expectation, projection or indication of future performance and business prospects, such forecasts may not be a reliable indicator of future or likely performance. Moreover, simulations are based on models and simplifying assumptions which may oversimplify and not reflect the future distribution of returns. Any figure, strategy or index created and published for illustrative purposes within this document is not intended for "use" as a "benchmark" as defined by the European Benchmark Regulation. Certain securities are subject to fluctuations in exchange rates that could have an adverse effect on the value or price of, or income derived from, the investment.

With respect to Fixed Income Research: Recommendations fall into two categories: tactical, which typically last up to three months; or strategic, which typically last from 6-12 months. However, trade recommendations may be reviewed at any time as circumstances change. 'Stop loss' levels for trades are also provided; which, if hit, closes the trade recommendation automatically. Prices and yields shown in recommendations are taken at the time of submission for publication and are based on either indicative Bloomberg, LSEG or Nomura prices and yields at that time. The prices and yields shown are not necessarily those at which the trade recommendation can be implemented.

The securities described herein may not have been registered under the US Securities Act of 1933 (the '1933 Act'), and, in such case, may not be offered or sold in the US or to US persons unless they have been registered under the 1933 Act, or except in compliance with an exemption from the registration requirements of the 1933 Act. Unless governing law permits otherwise, any transaction should be executed via a Nomura entity in your home jurisdiction.

This document has been approved for distribution in the UK as investment research by Nlplc. Nlplc is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority. Nlplc is a member of the London Stock Exchange. This document does not constitute a personal recommendation within the meaning of applicable regulations in the UK, or take into account the particular investment objectives, financial situations, or needs of individual investors. This document is intended only for investors who are 'eligible counterparties' or 'professional clients' for the purposes of applicable regulations in the UK, and may not, therefore, be redistributed to persons who are 'retail clients' for such purposes.

This document has been approved for distribution in the European Economic Area as investment research by Nomura Financial Products Europe GmbH ("NFPE"). NFPE is a company organized as a limited liability company under German law registered in the Commercial Register of the Court of Frankfurt/Main under HRB 110223. NFPE is authorized and regulated by the German Federal Financial Supervisory Authority (BaFin).

This document has been approved by NIHK, which is regulated by the Hong Kong Securities and Futures Commission, for distribution in Hong Kong by NIHK. This document is intended only for investors who are 'professional investors' for the purposes of applicable regulations in Hong Kong and may not, therefore, be redistributed to persons who are not 'professional investors' for such purposes.

This document has been approved for distribution in Australia by NAL, which is authorized and regulated in Australia by the ASIC.

This document has also been approved for distribution in Malaysia by NSM.

In Singapore, this document has been distributed by NSL, an exempt financial adviser as defined under the Financial Advisers Act (Chapter 110), among other things, and regulated by the Monetary Authority of Singapore. NSL may distribute this document produced by its foreign affiliates pursuant to an arrangement under Regulation 32C of the Financial Advisers Regulations. This document is intended for accredited, expert or institutional investors as defined by the Securities and Futures Act (Chapter 289). Where the recipient of this document is not an accredited, expert or institutional investor, NSL accepts legal responsibility for the contents of this document in respect of such recipient only to the extent required by law. Recipients of this document in Singapore should contact NSL in respect of matters arising from, or in connection with, this document. THIS DOCUMENT IS INTENDED FOR GENERAL CIRCULATION. IT DOES NOT TAKE INTO ACCOUNT THE SPECIFIC INVESTMENT OBJECTIVES, FINANCIAL SITUATION OR PARTICULAR NEEDS OF ANY PARTICULAR PERSON. RECIPIENTS SHOULD TAKE INTO ACCOUNT THEIR SPECIFIC INVESTMENT OBJECTIVES, FINANCIAL SITUATION OR PARTICULAR NEEDS BEFORE

MAKING A COMMITMENT TO PURCHASE ANY SECURITIES, INCLUDING SEEKING ADVICE FROM AN INDEPENDENT FINANCIAL ADVISER REGARDING THE SUITABILITY OF THE INVESTMENT, UNDER A SEPARATE ENGAGEMENT, AS THE RECIPIENT DEEMS FIT. Unless prohibited by the provisions of Regulation S of the 1933 Act, this material is distributed in the US, by NSI, a US-registered broker-dealer, which accepts responsibility for its contents in accordance with the provisions of Rule 15a-6, under the US Securities Exchange Act of 1934. The entity that prepared this document permits its separately operated affiliates within the Nomura Group to make copies of such documents available to their clients.

This document has not been approved for distribution to persons other than 'Authorised Persons', 'Exempt Persons' or 'Institutions' (as defined by the Capital Markets Authority) in the Kingdom of Saudi Arabia ('Saudi Arabia') or a 'Market Counterparty' or a 'Professional Client' (as defined by the Dubai Financial Services Authority) in the United Arab Emirates ('UAE') or a 'Market Counterparty' or a 'Business Customer' (as defined by the Qatar Financial Centre Regulatory Authority) in the State of Qatar ('Qatar') by Nomura Saudi Arabia, Nlplc or any other member of the Nomura Group, as the case may be. Neither this document nor any copy thereof may be taken or transmitted or distributed, directly or indirectly, by any person other than those authorised to do so into Saudi Arabia or in the UAE or in Qatar or to any person other than 'Authorised Persons', 'Exempt Persons' or 'Institutions' located in Saudi Arabia or a 'Market Counterparty' or a 'Professional Client' in the UAE or a 'Market Counterparty' or a 'Business Customer' in Qatar. Any failure to comply with these restrictions may constitute a violation of the laws of the UAE or Saudi Arabia or Qatar.

For report with reference of TAIWAN public companies or authored by Taiwan based research analyst:

THIS DOCUMENT IS SOLELY FOR REFERENCE ONLY. You should independently evaluate the investment risks and are solely responsible for your investment decisions. NO PORTION OF THE REPORT MAY BE REPRODUCED OR QUOTED BY THE PRESS OR ANY OTHER PERSON WITHOUT WRITTEN AUTHORIZATION FROM NOMURA GROUP. Pursuant to Operational Regulations Governing Securities Firms Recommending Trades in Securities to Customers and/or other applicable laws or regulations in Taiwan, you are prohibited to provide the reports to others (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities in connection with the reports which may involve conflicts of interests. INFORMATION ON SECURITIES / INSTRUMENTS NOT EXECUTABLE BY NOMURA INTERNATIONAL (HONG KONG) LTD., TAIPEI BRANCH IS FOR INFORMATIONAL PURPOSES ONLY AND IS NOT BE CONSTRUED AS A RECOMMENDATION OR A SOLICITATION TO TRADE IN SUCH SECURITIES / INSTRUMENTS.

This material may not be distributed in Indonesia or passed on within the territory of the Republic of Indonesia or to persons who are Indonesian citizens (wherever they are domiciled or located) or entities of or residents in Indonesia in a manner which constitutes a public offering under the laws of the Republic of Indonesia. The securities mentioned in this document may not be offered or sold in Indonesia or to persons who are citizens of Indonesia (wherever they are domiciled or located) or entities of or residents in Indonesia in a manner which constitutes a public offering under the laws of the Republic of Indonesia.

An individual name printed next to NOI on the front page of a research report indicates that this document is a translation of a research report issued by NOI in the PRC. In all other cases, this document is prepared by Nomura Group or its subsidiary or affiliate (collectively, "Offshore Issuers") that is not licensed in the PRC to provide securities research. This research report is not approved or intended to be circulated in the PRC. The A-share related analysis (if any) is not produced for any persons located or incorporated in the PRC. The recipients should not rely on any information contained in this research report in making investment decisions and Offshore Issuers take no responsibility in this regard. NO PART OF THIS MATERIAL MAY BE (I) COPIED, PHOTOCOPIED, REPRODUCED OR DUPLICATED IN ANY FORM, BY ANY MEANS; OR (II) REDISSEMINATED, REPUBLISHED OR REDISTRIBUTED WITHOUT THE PRIOR WRITTEN CONSENT OF A MEMBER OF THE NOMURA GROUP. If this document has been distributed by electronic transmission, such as e-mail, then such transmission cannot be guaranteed to be secure or error-free as information could be intercepted, corrupted, lost, destroyed, arrive late or incomplete, or contain viruses. The sender therefore does not accept liability (in negligence or otherwise, and in whole or in part) for any errors or omissions in the contents of this document, which may arise as a result of electronic transmission. If verification is required, please request a hard-copy version.

The Nomura Group manages conflicts with respect to the production of research through its compliance policies and procedures (including, but not limited to, Conflicts of Interest, Chinese Wall and Confidentiality policies) as well as through the maintenance of Chinese Walls and employee training.

Additional information regarding the methodologies or models used in the production of any investment recommendations contained within this document is available upon request by contacting the Research Analysts of Nomura listed on the front page. Disclosures information is available upon request and disclosure information is available at the Nomura Disclosure web page:

<http://go.nomuranow.com/research/m/Disclosures>

Copyright © 2026 Nomura International (Hong Kong) Ltd., Taipei Branch, Taiwan. All rights reserved.